

BAJFINANCE

18.8%
ROE

4.2%
ROCE

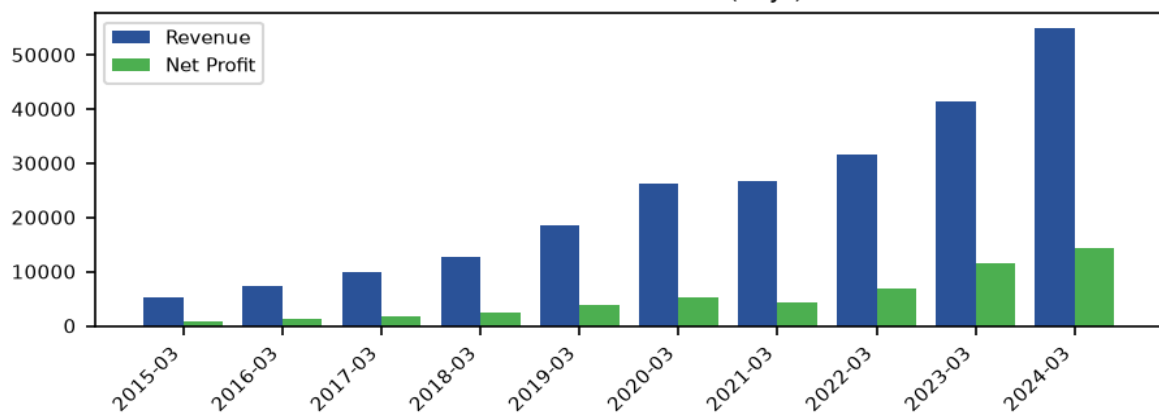
3.8x
D/E

24.4%
Revenue CAGR (5yr)

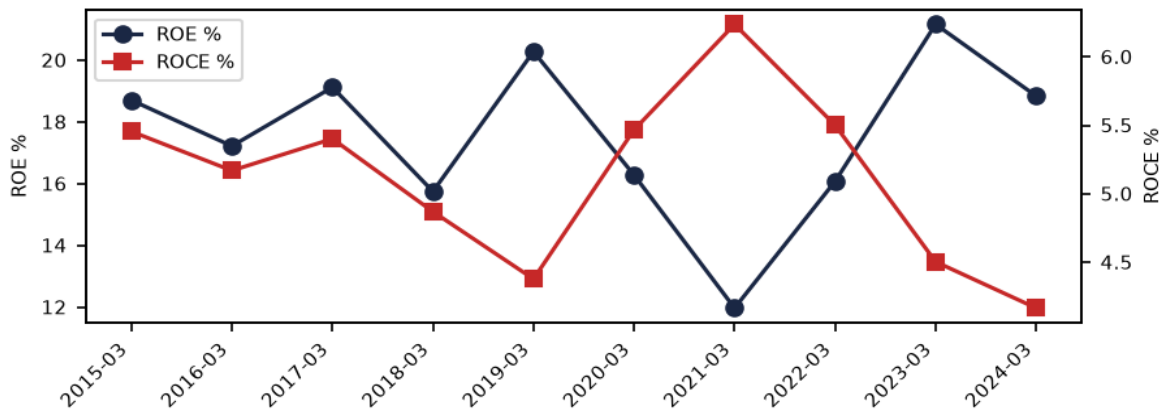
29.3%
OPM

26.3%
Net Profit Margin

Revenue vs Net Profit (10yr)

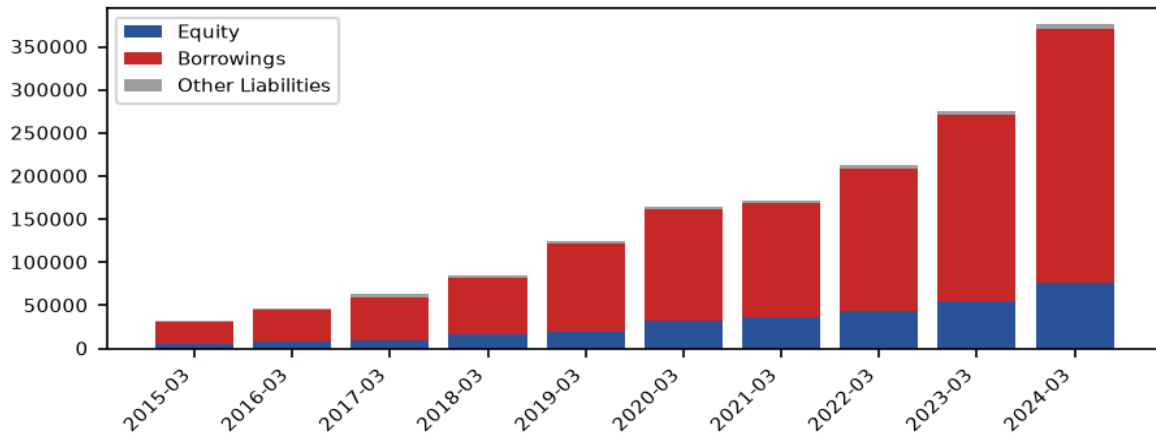


ROE vs ROCE (10yr)

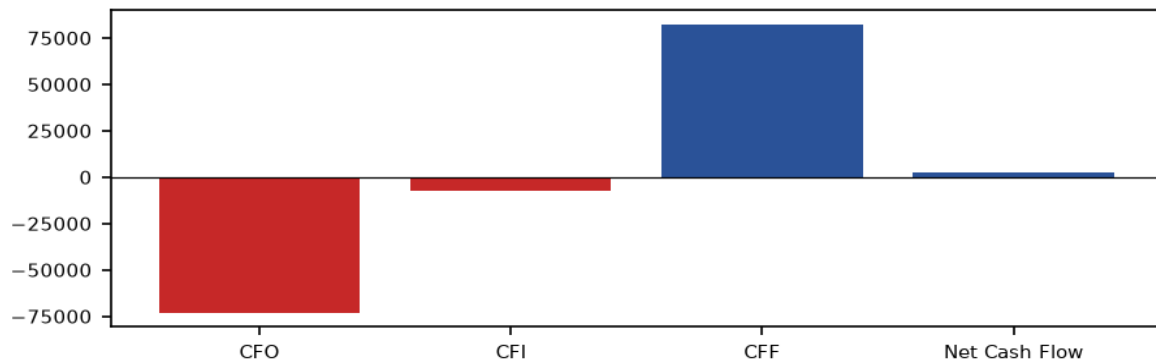


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Balance Sheet Composition (10yr)



Cash Flow Waterfall (2024-03)



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Growth Funded by Debt